

FINANCING ARRANGEMENTS

Long-term debt at March 31, 2003 and 2002, consisted of the following:

(Dollars in Thousands)	2003	2002
Accounts Receivable Securitization financing	\$ —	\$ 29,000
Senior Notes, due August 2006	130,963	150,000
Other	37	59
	131,000	179,059
Less current maturities of long-term debt	5	59
	\$130,995	\$179,000
Accounts Receivable Securitization financing — Weighted average stated interest rate	—	1.86%
Interest rate swap agreements		
Notional amounts	—	\$ 25,000
Fair market value — net payable	—	\$ (728)
Weighted average LIBOR rates applicable to interest rate swaps	—	1.91%
Weighted average effective interest rate paid under interest rate swap agreements	—	5.34%

In October 2001, the Company completed a three-year Accounts Receivable Securitization financing (the “Asset Securitization”) that provided for borrowings up to \$150 million, limited to certain borrowing base calculations, and was secured by certain trade accounts receivable. Under the terms of the agreement, the Company transferred receivables to a wholly-owned consolidated subsidiary that in turn utilized the receivables to secure the borrowings, which were funded through a vehicle that issues commercial paper in the short-term market. The yield on the commercial paper, which is the commercial paper rate plus program fees, is considered a financing cost and included in “Interest expense, net” in the accompanying Consolidated Statements of Operations. In February 2003, the Company canceled the Asset Securitization, based on the Company’s strong liquidity position and low anticipated borrowing needs. There were no advances outstanding under the facility as of the termination date.

During the first nine months of Fiscal 2003, the Company maintained a Revolving Credit Agreement (the “Revolver”), with a group of commercial banks, which provided the Company with the ability to borrow, on an unsecured basis, up to \$100 million, limited to certain borrowing base calculations. This agreement was scheduled to expire in September 2004. On December 20, 2002, in connection with the pending sale of IED, the Revolver was amended to reduce the Company’s ability to borrow to \$50 million, limited to certain borrowing base calculations, and accelerate the expiration date to June 2003. On March 21, 2003, the Company terminated the agreement. There were no advances outstanding under the Revolver as of the termination date. As a result of the above noted terminations, there were no outstanding financial or non-financial covenants as of March 31, 2003.

Concurrent with the Revolver amendment and attributable to the accelerated due date and reduction in borrowing capacity, the Company expensed approximately \$1.0 million of deferred financing fees in the third quarter of Fiscal 2003. In addition, as a result of the termination of the Asset Securitization and Revolver in the fourth quarter, the remaining unamortized deferred financing fees of \$0.6 million were expensed. These charges, totaling \$1.6 million, are included in “Interest expense, net” in the accompanying Consolidated Statement of Operations for the year ended March 31, 2003.

On April 17, 2003, the Company entered into an unsecured, three-year revolving credit agreement (the “2003 Revolver”) with a consortium of six banks. The 2003 Revolver provides the Company with the ability to borrow up to \$100 million, limited to certain borrowing base calculations, and allows for increases, under certain conditions, up to \$150 million during the life of the facility. The 2003 Revolver also contains standard pricing terms and conditions for companies with similar credit ratings, including limitations on other borrowings, investment expenditures and the maintenance of certain financial ratios, such as leverage, fixed charge coverage and tangible net worth, among other restrictions. The 2003 Revolver advances bear interest at various levels over LIBOR, and a facility fee is required, both of which are determined based on the Company’s leverage ratio. The 2003 Revolver does not contain a prepayment penalty. At April 17, 2003 there were no borrowings outstanding under the 2003 Revolver.